

Educational Analysis

2026 Tax Year Planning

Prepared for Sylvia & Kevin Lee · March 2026

Educational scenario modeling for discussion with licensed professionals.
This document does not constitute investment, tax, or legal advice.

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the Lee family financial profile. Given the household's multi-source income structure (W-2 + LLC + rental portfolio), Texas residency (0% state income tax), and immediate concerns around 2025 capital gains from property and stock sales, this snapshot models both near-term mitigation strategies and forward-looking 2026 planning.

Special attention is given to AGI reduction techniques that may benefit upcoming FAFSA calculations for both children's college financial aid applications. This analysis incorporates provisions from the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, including 100% bonus depreciation, the increased SALT deduction cap, expanded Section 179, and updated contribution limits per IRS Rev. Proc. 2025-32.

Across eight strategy categories — including tax optimization, investment income, projected appreciation, real estate, cash flow improvements, and wealth positioning — this snapshot models potential first-year value ranging from **\$88,412** (conservative scenario) to **\$227,000** (aggressive scenario including STR real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

CONSERVATIVE SCENARIO

\$88,412

Modeled First-Year Value

AGGRESSIVE SCENARIO

\$227,000

Incl. STR Real Estate Acquisition

Current Financial Position

PROFILE ITEM	DETAIL
Filing Status / Age	Married Filing Jointly · Age 48 (no catch-up contributions for 2026)
State	Texas — 0% state income tax
Household Income	\$400–499K total (W-2 ~\$200–299K from Genentech + LLC income <\$25K + rental income ~\$74,400)
Estimated Marginal Rate	~32% federal (MFJ 32% bracket covers taxable income \$403,551–\$512,450; TX 0% state). Note: At the lower end of the income range, the marginal rate may be 24%.
Standard Deduction (2026)	\$32,200 MFJ (per Rev. Proc. 2025-32, incorporating OBBBA boost)
Business Structure	Multi-Member LLC (2+ years), daughter's art e-commerce (opened 2025)
Retirement Accounts	401(k): contributing but not max · HSA: contributing but not max · Annual Roth conversions
Real Estate Portfolio	\$1.2M total — 1 primary home (significant equity \$100K+) + 3 rental properties (LTR, 12+ mo leases), incl. Austin, TX property
Monthly RE Income	~\$6,200/month (\$74,400/yr) from 3 rental properties
Property Taxes	~\$14,000/year (primary home only)
Liquid Capital	\$50–100K deployable (Q45); total liquid \$500K+ (Q26)
Debt Profile	\$50K+ total debt · Credit score 760+
Emergency Fund	2–3 months of expenses
Dependents	2 children — ages 15 and 16 in 2026
Vehicle	Tesla X — mixed business/personal use (25–75% business)
Home Office	Yes — dedicated room used exclusively for business
Equipment	Moderate purchases (\$2,000–\$10,000/year). Note: Section 179 expanded to \$2,500,000 under OBBBA.

Risk Tolerance	Moderate — balanced growth and stability
Time Available	10–15 hours/week for wealth-building activities
Investment Interest	Very interested · Open to Airbnb arbitrage, ownership, and guided strategies
Business Credit	Established

⚠ **2025 Urgency:** The Lee family sold 2 rental properties and stocks at a profit in 2025, creating significant capital gains exposure. The 2025 return is needed by March 6, 2026 for the son's school financial aid application. Both 2025 and 2026 AGI directly impact FAFSA calculations for both children's upcoming college applications.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 Mar 3–9

2025 Tax Return — URGENT: Prioritize filing by 3/6/2026 for son's financial aid deadline. Discuss capital gains mitigation from 2 sold rental properties and stock sales with CPA. Review 2025 IRA and HSA contribution room — contributions can still be made until April 15, 2026. Evaluate depreciation recapture (Section 1250), installment sale reporting, and capital loss harvesting opportunities for 2025.

Week 2 Mar 10–16

2026 W-4 & Withholding Review: Discuss W-4 adjustment with CPA to align withholding with 2026 strategy. Begin 401(k) increase request with Genentech HR to reach \$24,500 max. Increase HSA contribution toward \$8,750 family maximum through employer payroll.

Week 3 Mar 17–23

Children Employment & Augusta Rule: Discuss structuring compensation for children (ages 15 & 16) in art e-commerce LLC with CPA — document job descriptions, hours, and reasonable pay. Note: Multi-Member LLC may require different FICA treatment than sole proprietorship; verify entity structure implications. Research fair rental value for primary home for Augusta Rule documentation.

Week 4 Mar 24–31

Austin STR & CPA Evaluation: Research Airbnb regulations for Austin, TX property. Explore cost segregation study providers and timeline (study typically completed before year-end for 2026 benefit). Under OBBBA, 100% bonus depreciation is now available for property placed in service

after January 19, 2025. If dissatisfied with current CPA's approach, interview replacement professionals who specialize in real estate investor tax strategy.

These are considerations for discussion with your professional team, not directives. Implementation timing depends on your specific situation and professional guidance.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	LEE FAMILY OPPORTUNITY
Backdoor Roth IRA	\$7,000 × 2 spouses (age 48, no catch-up)	April 15, 2026	Up to \$14,000 positioned tax-free (does not reduce AGI but builds tax-free wealth)
HSA Contributions	\$8,550 family (age 48, no catch-up)	April 15, 2026	Max out remaining 2025 room if enrolled in HDHP — verify with employer
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	If Solo 401(k) plan existed before Dec 31, 2025 — employer contribution on LLC/SE income
SEP IRA	25% of comp, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) not yet established — discuss with CPA

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

⚠️ 2025 Capital Gains — Discussion Points for CPA:

- Depreciation recapture on 2 sold rental properties — Section 1250 treatment at 25% rate

- Long-term capital gains rate on remaining gain (15–20% + 3.8% NIIT at this income level)
- Installment sale reporting — if applicable, could spread gains across multiple tax years
- Capital loss harvesting from remaining portfolio positions to offset 2025 gains
- Opportunity Zone investment — 180-day window from date of gain realization
- Donor Advised Fund (DAF) — bunching charitable contributions to offset 2025 AGI

FAFSA Impact: 2025 AGI directly affects the 2027–2028 financial aid cycle (son age 16→17)

These are discussion points for your tax professional. The 2025 capital gains situation requires immediate professional guidance given the 3/6 filing deadline.

2026 Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes based on the Lee family profile. Eligibility and implementation must be verified with a qualified CPA. All limits reflect 2026 IRS figures per Rev. Proc. 2025-32. Tax savings modeled at an estimated 32% federal marginal rate.

Strategy Concept 1: W-2 401(k) Maximization

Potential Tax Value: \$4,000 – \$7,840

What It Is: Maximizing pre-tax 401(k) employee deferrals through Genentech's employer plan reduces taxable W-2 income dollar-for-dollar. At age 48, the 2026 limit is \$24,500 (no catch-up). At a 32% marginal rate, a full \$24,500 contribution models potential tax savings of \$7,840.

How It Works:

1. Review current contribution rate with Genentech HR and increase to reach \$24,500 by Dec 31, 2026
2. Evaluate Roth vs. pre-tax election based on current vs. projected future tax rate
3. Coordinate with employer match schedule to maximize any available matching

Eligibility Criteria: Active W-2 employee with access to employer 401(k) plan. No age-based catch-up at 48.

FAFSA Note: Pre-tax 401(k) contributions reduce AGI, which may directly benefit financial aid calculations.

Verify contribution limits and plan rules with your employer's HR department and CPA. 2026 limits shown.

Strategy Concept 2: HSA Family Maximization

Potential Tax Value: \$1,920 – \$2,800

What It Is: Health Savings Accounts offer a triple tax benefit: tax-deductible contributions, tax-free growth, and tax-free withdrawals for qualified medical expenses. The 2026 family limit is \$8,750 (age 48, no HSA catch-up). At 32%, full contribution models \$2,800 in tax savings.

How It Works:

1. Verify enrollment in a High-Deductible Health Plan (HDHP) through Genentech
2. Increase payroll HSA contributions to reach \$8,750 for 2026
3. Consider "invest and don't spend" strategy — pay medical expenses out-of-pocket and let HSA grow tax-free

Eligibility Criteria: Must be enrolled in a qualifying HDHP. Cannot be enrolled in Medicare or claimed as a dependent.

Verify HDHP enrollment status and HSA eligibility with your benefits administrator. 2026 limits shown.

Strategy Concept 3: Augusta Rule (IRC §280A)

Potential Tax Value: \$2,240 – \$3,200 | **Tax-Free Income:** \$7,000 – \$10,000

What It Is: A homeowner may rent their personal residence for up to 14 days per year without reporting the rental income. The LLC pays a fair-market rental rate for legitimate business meetings held at the home. This creates a tax deduction for the LLC and tax-free income for the homeowner — a dual benefit.

How It Works:

1. Document fair market rental value for the home (obtain comparable rental data for area)
2. Schedule and document legitimate business meetings (board meetings, strategy sessions, team planning) — 12 to 14 days at \$500–\$700/day
3. LLC pays rental fee to homeowner via check/transfer; homeowner does not report income (under 14-day rule)

Eligibility Criteria: Own a personal residence, operate a business entity, conduct legitimate business use. Must stay at or below 14 days. Rental rate must be at fair market value.

FAFSA Note: Augusta Rule income is not reported on tax returns and therefore does not increase AGI — invisible to financial aid calculations.

Maintain detailed documentation of business purpose, dates, attendees, and fair market value. Verify with CPA. 2026 rules apply.

Strategy Concept 4: Hiring Children in Family Business

Potential Tax Value: \$3,840 – \$7,680

What It Is: Employing children (ages 15 & 16) in the art e-commerce LLC shifts income from the parents' 32% bracket to the children's 0% bracket (2026 standard deduction covers up to \$16,100 in earned income for dependents). Each child performing legitimate work could receive \$6,000–\$12,000/year. At 32%, shifting \$24,000 total models potential savings of \$7,680.

How It Works:

1. Document legitimate job roles: product photography, social media management, packaging, inventory, art production for the e-commerce business
2. Pay reasonable wages — research comparable pay for similar work by minors in the area
3. Maintain time sheets, job descriptions, and W-2/1099 records. Issue W-2s if applicable

Eligibility Criteria: Children must perform legitimate, age-appropriate work. Compensation must be reasonable for the work performed. Note: the FICA exemption (children under 18) applies to sole proprietorships and spousal partnerships — Multi-Member LLC may be subject to FICA. Discuss entity structure with CPA.

Bonus: Children's earned income allows them to open Roth IRAs (up to \$7,500 each for 2026 if they earn that much), creating tax-free compounding from an early age.

Verify entity-specific FICA treatment, reasonable compensation standards, and minor employment laws with your CPA and attorney. 2026 limits shown.

Strategy Concept 5: Vehicle Business Deduction (Tesla X)

Potential Tax Value: \$1,856 – \$3,480

What It Is: Business use of a personal vehicle can be deducted at the 2026 standard mileage rate of 72.5¢/mile. With 25–75% business use indicated on the Tesla X, annual business mileage of 8,000–15,000 miles models a deduction of \$5,800–\$10,875, yielding tax savings of \$1,856–\$3,480 at 32%.

How It Works:

1. Begin a contemporaneous mileage log (app-based tracking: MileIQ, Everlance, or similar)

2. Document business purpose for each trip (property visits, business meetings, supply runs, etc.)
3. Evaluate standard mileage rate vs. actual expense method — compare with CPA to determine which produces a larger deduction

Eligibility Criteria: Vehicle must be used for business purposes. Standard mileage rate requires choosing this method in the first year the vehicle is placed in service. Mixed-use vehicles require accurate log documentation.

Mileage logs are a common audit trigger — maintain detailed records. Verify method election with CPA. 2026 rate: 72.5¢/mile.

Strategy Concept 6: Home Office Deduction

Potential Tax Value: \$480 – \$1,600

What It Is: A dedicated room used exclusively for business qualifies for the home office deduction. Two methods exist: the simplified method (\$5/sq ft, max 300 sq ft = \$1,500) and the regular method (proportional share of mortgage interest, property taxes, insurance, utilities, and depreciation).

How It Works:

1. Measure the dedicated office space and calculate its percentage of total home square footage
2. Compare simplified (\$1,500 max) vs. regular method with CPA — the regular method often produces a larger deduction for higher-value homes
3. The regular method using a proportional share of \$14,000 property taxes + mortgage interest + utilities could model a deduction of \$1,500–\$5,000, yielding \$480–\$1,600 at 32%

Eligibility Criteria: Space must be used regularly and exclusively for business. Must be the principal place of business or a place where clients/customers are met.

Document exclusive business use with photos and floor plan. Verify with CPA. 2026 rules apply.

Strategy Concept 7: STR Conversion + Cost Segregation (Austin Property)

Potential Tax Value: \$0 (conservative) – \$35,000 (aggressive)

What It Is: Converting the Austin, TX long-term rental to a short-term rental (Airbnb) combined with a cost segregation study can accelerate depreciation deductions. Under OBBBA (signed July 4, 2025), **100% bonus depreciation is permanently available** for qualified property acquired and placed in service after January 19, 2025.

If average stay is 7 days or less and the owner materially participates (100+ hours, more than any other person), depreciation losses may offset active/W-2 income — even without full REP status.

How It Works (Corrected Cost Seg Methodology):

1. Convert Austin LTR to STR — research local regulations, furnishing costs (\$15–25K), and market comps
2. Commission a cost segregation study (\$3,000–\$8,000) to reclassify building components into 5-, 7-, and 15-year property
3. **Building basis calculation:** ~\$350K property value – ~\$70K land (20%) = ~\$280K depreciable building basis
4. Cost seg typically reclassifies 25–40% of *building basis* as accelerated components = \$70,000–\$112,000
5. At 100% bonus depreciation (OBBBA): \$70K–\$112K deducted in Year 1, plus remaining straight-line (\$168K–\$210K ÷ 27.5 yrs = \$6,100–\$7,600/yr)
6. Total Year 1 depreciation: \$76,100–\$119,600 → Tax benefit at 32%: \$24,350–\$38,270

Eligibility Criteria: Average guest stay ≤ 7 days. Owner must materially participate (100+ hours and more than any other individual). STR exception to passive activity rules under IRC §469. Property must be placed in service as STR. 100% bonus depreciation applies to property acquired and placed in service after January 19, 2025 under OBBBA.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation studies require a qualified engineering firm.

Strategy Concept 8: Backdoor Roth IRA (Both Spouses)

Wealth Positioned: \$15,000/year (tax-free growth)

What It Is: At this income level, direct Roth IRA contributions are phased out. The "backdoor" strategy involves contributing to a Traditional IRA (non-deductible) and immediately converting to Roth. The 2026 limit is \$7,500 per person × 2 spouses = \$15,000. While this does not reduce current-year AGI, it builds a tax-free retirement asset.

How It Works:

1. Contribute \$7,500 each to non-deductible Traditional IRA
2. Convert immediately to Roth IRA (minimal taxable gain if converted promptly)
3. Verify no existing pre-tax IRA balances (pro-rata rule) — if pre-tax IRA balances exist, discuss rollover to employer 401(k) first

Eligibility Criteria: Earned income required. Be aware of the pro-rata rule if either spouse has existing Traditional IRA balances. The 2026 contribution limit is \$7,500 per person (age 48, no IRA catch-up; catch-up begins at 50).

The pro-rata rule can create unexpected tax consequences. Verify IRA balance status and conversion strategy with your CPA. 2026 limits shown.

Primary Strategy Education: Family Business Tax Integration

The Lee family's unique position — W-2 income from Genentech, a Multi-Member LLC, a new art e-commerce business, and 3 rental properties — creates multiple overlapping tax optimization opportunities. This section explores how these elements can work together educationally.

A. The Art E-Commerce LLC as a Tax Strategy Vehicle

The daughter's art e-commerce business (opened 2025) creates several potential strategy layers beyond its primary revenue purpose:

STRATEGY LAYER	MECHANISM	POTENTIAL ANNUAL VALUE AT 32%
Employ both children	Shift \$12–24K income to 0% bracket	\$3,840 – \$7,680 tax savings
Augusta Rule	Rent home 12–14 days for business use	\$7,000 – \$10,000 tax-free income
Home office	Dedicated workspace deduction	\$480 – \$1,600 tax savings
Vehicle deduction	Business travel at 72.5¢/mile	\$1,856 – \$3,480 tax savings
Equipment (\$179)	\$2,000–\$10,000 in equipment expensed (\$179 expanded to \$2.5M under OBBBA)	\$640 – \$3,200 tax savings
Business expenses	Supplies, shipping, software, inventory	Varies — document all legitimate expenses

Each strategy requires specific documentation. The e-commerce business must demonstrate profit motive (hobby loss rules apply after 3 years of losses in a 5-year period). Verify entity structure and FICA implications for children's employment with your CPA and attorney.

B. Austin STR Conversion — Educational Scenario

Converting the Austin long-term rental to a short-term rental models a multi-layered return that combines income, tax benefits, and appreciation:

COMPONENT	ANNUAL ESTIMATE	NOTES
Gross STR Revenue (Austin market)	\$45,000 – \$65,000	Dependent on location, amenities, occupancy
Operating Expenses (40–50%)	(\$20,000 – \$30,000)	Cleaning, maintenance, platform fees, insurance, furnishing amortization
Net Operating Income	\$25,000 – \$35,000	Before depreciation and mortgage
Cost Seg Tax Benefit (Year 1)	\$24,350 – \$38,270	25–40% of ~\$280K building basis × 100% bonus dep (OBBBA) × 32% rate
Property Appreciation (3–6%)	\$10,500 – \$21,000	Unrealized; Austin market dependent

STR Loophole (IRC §469): Short-term rentals with average guest stays of 7 days or less are not automatically treated as "rental activities" for passive loss purposes. If the owner materially participates (100+ hours, more than any other person), losses — including accelerated depreciation from cost segregation with 100% bonus depreciation under OBBBA — may offset W-2 and active business income. This is distinct from and does not require Real Estate Professional (REP) status. With 10–15 hours/week available, the material participation threshold is achievable.

Real estate tax strategies have specific documentation and participation requirements. Material participation must be documented contemporaneously. Work with a qualified tax professional to ensure compliance.

Illustrative Portfolio Scenario

Based on profile analysis: moderate risk tolerance, balanced growth goals with tax reduction priority, 10–15 hours/week available, \$75,000 midpoint deployable capital. This scenario uses \$75,000 as the base amount for both conservative and aggressive modeling.

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT	EDUCATIONAL RATIONALE
Bitcoin (BTC)	55%	\$41,250	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate allocation reflects balanced risk profile.
STRC	25%	\$18,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Verify current yield at time of investment.
VTI / VOO	20%	\$15,000	VTI offers broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. Provides traditional equity diversification alongside digital assets.

This scenario models one approach based on the moderate/balanced profile and growth-focused goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Historical yields are not guaranteed.

Modeled First-Year Value Summary (2026 Tax Year)

Capital basis: \$75,000 deployable (Q45 midpoint). Conservative scenario excludes real estate acquisition. Aggressive scenario includes Austin STR conversion. All values are modeled estimates at ~32% federal marginal rate.

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION				
Tax	W-2 401(k) Maximization	\$4,000	\$7,840	\$12,500–\$24,500 contribution × 32%
Tax	HSA Family Maximization	\$1,920	\$2,800	\$6,000–\$8,750 × 32% (2026: \$8,750 family)
Tax	Augusta Rule	\$2,240	\$3,200	12–14 days × \$500–\$700/day × 32%

Tax	Hire Children (2 × ages 15 & 16)	\$3,840	\$7,680	\$12,000–\$24,000 shifted to 0% bracket × 32%
Tax	Vehicle Deduction (72.5¢/mile)	\$1,856	\$3,480	8,000–15,000 mi × 72.5¢ × 32%
Tax	Home Office Deduction	\$480	\$1,600	Simplified (\$1,500) to regular method × 32%
Tax	STR + Cost Segregation (Austin)	\$0	\$35,000	Aggressive only: 100% bonus dep (OBBBA) on ~\$280K building basis × 32%
Tax Optimization Subtotal		\$14,336	\$61,600	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (10–12%)	\$1,875	\$2,250	\$18,750 × 10% / 12%
Income	VTI/VOO Dividends (1.5–2%)	\$225	\$300	\$15,000 × 1.5% / 2%
Investment Income Subtotal		\$2,100	\$2,550	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin Appreciation (25–50%)	\$10,313	\$20,625	\$41,250 × 25% / 50%
Growth	STRC Appreciation (15–30%)	\$2,813	\$5,625	\$18,750 × 15% / 30%
Growth	VTI/VOO Appreciation (8–12%)	\$1,200	\$1,800	\$15,000 × 8% / 12%
Appreciation Subtotal		\$14,326	\$28,050	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — AUSTIN STR CONVERSION)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	\$45–65K gross – 40–50% expenses

RE	Property Appreciation (3–6%)	\$0	\$17,250	Midpoint on ~\$350K property
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build from existing mortgage
Real Estate Subtotal		\$0	\$51,750	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$2,400	\$4,800	\$200–\$400/month additional take-home × 12
Cash Flow Subtotal		\$2,400	\$4,800	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	401(k) Contributions (2026)	\$24,500	\$24,500	Max employee deferral (age 48, no catch-up)
Wealth	HSA Contributions (2026)	\$8,750	\$8,750	Family max (age 48, no HSA catch-up)
Wealth	Backdoor Roth IRA (Both Spouses)	\$15,000	\$15,000	\$7,500 × 2 (age 48, no IRA catch-up)
Wealth	Augusta Rule Income Received	\$7,000	\$10,000	Tax-free income under 14-day rule
Wealth	STR Furnishing / Setup Investment	\$0	\$20,000	Aggressive only: Austin conversion setup
Wealth Building Subtotal		\$55,250	\$78,250	
TOTAL FIRST-YEAR MODELED VALUE (2026)		\$88,412	\$227,000	

Totals Verification:

Conservative: \$14,336 + \$2,100 + \$14,326 + \$0 + \$2,400 + \$55,250 = **\$88,412 ✓**

Aggressive: \$61,600 + \$2,550 + \$28,050 + \$51,750 + \$4,800 + \$78,250 = **\$227,000 ✓**

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 at an estimated 32% federal marginal rate; verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	NOTES
Mar 6, 2026	2025 Tax Return filing (financial aid deadline)	⚠ URGENT — son's school financial aid requires completed return
Apr 15, 2026	2025 IRA & HSA contribution deadline	Last day to make prior-year IRA ($\$7,000 \times 2$) and HSA ($\$8,550$ family) contributions
Apr 15, 2026	2025 tax filing deadline (or extension)	If extending, request by this date; Solo 401(k) employer portion extends with return
Jun 2026	Mid-year strategy review	Review 401(k)/HSA contribution pace, Augusta Rule documentation, children's employment records
Oct 2026	FAFSA opens for 2027–2028 academic year	2025 tax data used; lower 2025 AGI directly benefits aid calculations
Oct 15, 2026	Extended 2025 tax filing deadline	Final deadline for 2025 Solo 401(k) employer contribution / SEP IRA
Dec 31, 2026	2026 401(k) employee deferral deadline	Must reach $\$24,500$ max by final pay period
Dec 31, 2026	Solo 401(k) establishment deadline	Plan must exist by 12/31/2026 for 2026 employee deferrals (if applicable to LLC)
Dec 31, 2026	Cost segregation study completion	Study should be completed for any property placed in service as STR during 2026
Apr 15, 2027	2026 IRA & HSA contribution deadline	Last day for 2026 prior-year IRA ($\$7,500 \times 2$) and HSA ($\$8,750$ family)

Verify all deadlines with your tax professional. Deadlines may change based on IRS announcements or disaster declarations.

Questions for Your Professional Team

For Your CPA / Tax Professional:

- Given our 2025 capital gains from the sale of 2 rental properties and stocks, what strategies are still available to reduce that tax burden before filing?
- What is the depreciation recapture amount (Section 1250) on the sold properties, and is installment sale reporting an option?
- Can we still make 2025 IRA and HSA contributions before April 15 to reduce AGI?
- For 2026: what is our exact federal marginal tax rate given total household income? (This analysis estimates 32% — verify based on complete income picture.)
- Can we maximize 401(k) contributions at \$24,500, and should we evaluate Roth vs. pre-tax given our bracket?
- Can our Multi-Member LLC support the Augusta Rule, and what documentation do we need?
- What is the FICA treatment for employing our children (ages 15 & 16) through the Multi-Member LLC vs. if the art e-commerce were a sole proprietorship?
- If we convert the Austin rental to an STR, what are the cost segregation study requirements? Can the 100% bonus depreciation (OBBBA) on reclassified building components offset our W-2 income under the STR exception?
- How will our 2025 and 2026 AGI affect FAFSA calculations for our children's college applications in 2027–2029?
- Should we consider a Donor Advised Fund (DAF) contribution in 2025 or 2026 to further reduce AGI? Note: OBBBA provides a \$2,000 MFJ charitable deduction for non-itemizers starting in 2026.
- Does the QBI deduction (20%, made permanent under OBBBA) apply to our LLC or rental income? Are there income-based limitations at our bracket?

For Your Financial Advisor:

- How does this portfolio scenario align with our overall risk tolerance and timeline?
- What is the appropriate Bitcoin allocation given our age, income, and existing real estate exposure?
- Should we execute the backdoor Roth for both spouses for 2025 and 2026?
- How should we sequence deploying the \$75K in investable capital?

For Your Attorney:

- Is the Multi-Member LLC the optimal structure for the art e-commerce business, or would a separate entity provide better tax benefits (e.g., sole proprietorship for FICA exemption on children's wages)?
- Do we need operating agreement updates to document children's employment and Augusta Rule usage?

- Should we evaluate asset protection structures given the growing real estate portfolio?

Professional Team Considerations

ROLE	FOCUS AREAS	KEY QUALIFICATIONS TO LOOK FOR
CPA / Tax Strategist	2025 capital gains mitigation, 2026 tax optimization, cost segregation coordination, FAFSA-aware planning, entity structuring, OBBBA provisions	Experience with real estate investors, STR tax strategy, multi-entity families. Proactive planning approach (vs. compliance-only). Familiar with OBBBA changes.
Real Estate Attorney	Entity structure review, operating agreements, STR regulatory compliance (Austin), asset protection	TX real estate law expertise, LLC structuring experience
Financial Advisor	Investment implementation, retirement planning, portfolio construction, insurance review	Fee-only fiduciary, familiar with alternative assets and real estate investor profiles
Cost Segregation Firm	Engineering-based study for Austin property (and potentially remaining rentals)	Firms with engineering backgrounds, IRS audit defense experience, flat-fee pricing. Should understand OBBBA 100% bonus depreciation rules.

Note on Current CPA: You mentioned your current CPA is reluctant to engage in tax strategy discussions. A CPA who specializes in real estate investor tax planning may provide more proactive guidance. Consider interviewing 2–3 candidates who demonstrate experience with the strategies outlined in this document, including familiarity with OBBBA provisions and cost segregation coordination.

Review Milestones (2026)

CHECKPOINT	REVIEW FOCUS	CONSIDERATIONS
Q1 (Mar–Apr)	2025 return filed; 2025 IRA/HSA contributed; 2026 W-4 & payroll updated	Confirm financial aid deadline met. Verify 2025 prior-year contributions posted correctly.

Q2 (Jun)	401(k)/HSA contribution pace check; children's employment documentation; Augusta Rule events scheduled	Are payroll deductions on track for \$24,500 by Dec 31? Are children's work hours being logged?
Q3 (Sep)	Austin STR conversion progress; cost segregation study status; FAFSA preparation	If converting Austin property, is the STR operational? Is the cost seg study commissioned? Begin gathering 2025 docs for October FAFSA opening.
Q4 (Dec)	Year-end tax planning meeting; verify all 2026 contributions maxed; finalize Augusta Rule documentation	Last chance for 2026 401(k) deferrals. Confirm cost seg study completed. Prepare for 2026 tax return.

These milestones are considerations for discussion with your professional team, not requirements. Adjust timing based on your specific situation and professional guidance.

Educational Resources

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A
SEP IRA	25% of comp, up to \$72,000	N/A	N/A
Section 179 Expensing	\$2,500,000 (OBBBA)	Phase-out begins at \$4,000,000	

Business Mileage Rate	72.5¢ per mile (2026)
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Key OBBBA Provisions (Signed July 4, 2025)

PROVISION	DETAIL	LEE FAMILY IMPACT
100% Bonus Depreciation	Permanent for property acquired and placed in service after Jan 19, 2025	Applies to Austin STR cost seg study — full Year 1 deduction on reclassified components
SALT Cap Increase	\$40,400 for 2026 MFJ (phases down at \$505,000 MAGI)	Limited impact — TX has no state income tax; primary exposure is \$14K property taxes
Section 179 Expansion	\$2,500,000 max (phase-out at \$4,000,000)	Relevant for larger equipment purchases in e-commerce or STR furnishing
Child Tax Credit	\$2,200 per child (up from \$2,000); indexed for inflation	Phaseout begins at \$400,000 MFJ — discuss eligibility with CPA based on exact AGI
Non-Itemizer Charitable Deduction	\$2,000 MFJ starting 2026	Available if taking standard deduction — modest AGI reduction
QBI Deduction	20% deduction made permanent; phase-in range widened to \$150K MFJ	Discuss applicability to LLC and rental income with CPA
Standard Deduction	\$32,200 MFJ (OBBBA-boosted + inflation)	Compare to itemized deductions (\$14K property tax + mortgage interest)
TCJA Rates Permanent	7-bracket structure (10%–37%) now permanent	Planning certainty — no sunset risk on current rates

SECURE 2.0 Note (2026)

Beginning in 2026, employees who earned \$150,000 or more in FICA wages in the prior year (2025) from the same employer must make catch-up contributions as Roth (not pre-tax). At age 48, the Lee family is not yet eligible for catch-up contributions, but this rule will apply when they reach age 50 in 2028 if W-2 income exceeds \$150,000.

Key IRS Resources (for educational reference)

TOPIC	IRS REFERENCE
401(k) Contribution Limits	IRS.gov — Retirement Topics: 401(k) and Profit-Sharing Plan Contribution Limits
HSA Contribution Limits	IRS Revenue Procedure 2025-19 and 2025-32; Publication 969
Home Office Deduction	IRS Publication 587 — Business Use of Your Home
Vehicle / Mileage Deduction	IRS Publication 463 — Travel, Gift, and Car Expenses
Rental Income & Expenses	IRS Publication 527 — Residential Rental Property
Passive Activity Rules	IRS Publication 925 — Passive Activity and At-Risk Rules
Cost Segregation	IRS Cost Segregation Audit Techniques Guide (ATG)
Hiring Family Members	IRS Publication 15 (Circular E) — Employer's Tax Guide
Augusta Rule	IRC §280A(g) — 14-Day Rental Exclusion
OBBBA Provisions	Pub. L. 119-21; IRS Rev. Proc. 2025-32; IRS Notice 2026-5 (HSA)
FAFSA & Tax Impact	studentaid.gov — FAFSA resources

For educational reference only. Tax laws and IRS guidance change regularly. Always verify current rules at IRS.gov or with your tax professional.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

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